

Transportation)

Asset (none)

Liability (none)

This is the cash flow pattern of a person in the middle class:

Job (provides income)-> Expenses(Taxes Food Mortgage Clothes

Fun Transportation)

Asset (none)

Liability (Mortgage Consumer loans Credit Cards)

This is the cash flow pattern of a wealthy person:

Assets(stocks bonds notes real estate intellectual property)->income
(dividends interest rental income royalties)

Liabilities (none)

All of these diagrams were obviously oversimplified. Everyone has living expenses, the need for food, shelter and clothing.

The diagrams show the flow of cash through a poor, middle class or wealthy person's life. It is the cash flow that tells the story. It is the story of how a person handles their money, what they do after they get the money in their hand.

The reason I started with the story of the richest men in America is to illustrate the flaw in the thinking of so many people. The flaw is that money will solve all problems. That is why I cringe whenever I hear people ask me how to get rich quicker. Or where do they start? I often hear, "I'm in debt so I need to make more money."

But more money will often not solve the problem; in fact, it may actually accelerate the problem. Money often makes obvious our tragic human flaws. Money often puts a spotlight on what we do not know. That is why, all too often, a person who comes into a sudden windfall of cash-let's say an inheritance, a pay raise or lottery winnings-soon returns to the same financial mess, if not worse than the mess they were in before they received the money. Money only accentuates the cash flow pattern running in your head. If your pattern is to spend everything you get, most likely an increase in cash will just result in an increase in spending. Thus, the saying, "A fool and his money is one big party," I have said many times that we go to school to gain scholastic skills and professional skills, both important. We learn to make money with our professional skills. In the 1960s, when I was in high school, if someone did well in school academically, almost immediately people assumed this bright student would go on to be a medical doctor. Often no one asked the child if they wanted to be a doctor. It was assumed. It was the profession with the promise of the greatest financial reward.

Today, doctors are facing financial challenges I would not wish on my worst enemy; insurance companies taking control of the business,